

Class 1: Introducing Financial Accounting

PRACTICE QUESTIONS: SOLUTIONS

These practice questions are designed to help improve your understanding of the course material. The questions referenced in this document can be found at the **end of each chapter in your textbook**.

Use the **Table of Contents** below to identify the list of questions and the **suggested time** for completing each one. When using this resource:

- ☐ **Do the exercises soon after the lecture** and ideally **before tutorials**. Studies on learning show that practicing material shortly after it's introduced improves understanding and retention. Spacing out your practice and reviewing regularly also strengthens long-term memory.
- ☐ **Attempt the exercises first** without looking at the solutions or debriefing notes. This will help you simulate real exam conditions and identify areas where you may need further practice.
- ☐ Be **conscious of the suggested time** for each question. Staying aware of time management is a valuable skill for exams.
- ☐ After completing the exercises, use the solutions provided to **debrief your work**. Compare your answers, understand any mistakes, and learn from them to solidify your understanding of the concepts.

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CHAPTER 1 | INTRODUCING FINANCIAL ACCOUNTING**EXERCISES (~30 min)****E1-28 (~10 min)**

- a. Using the accounting equation:

(€ millions)	Assets	=	Liabilities	+	Equity
Prada	€3,888		€1,187		<u>€2,701</u>

- b. Starting with the accounting equation at the
- beginning*
- of the year:

(\$ millions)	Assets	=	Liabilities	+	Equity
Rogers	<u>\$19,618</u>		<u>\$15,850</u>		\$3,768

Using the accounting equation at the end of the year:

(\$ millions)	Assets	=	Liabilities	+	Equity
Rogers	\$19,618 + \$3,983		\$15,850 + \$3,082		<u>\$4,669</u>

Alternative approach to solving part (b):

$$\Delta \text{Assets } (\$3,983) = \Delta \text{Liabilities } (\$3,082) + \Delta \text{Equity} (?)$$

where “ Δ ” refers to “change in.”

$$\text{Thus: } \Delta \text{ Ending Equity} = \$3,983 - \$3,082 = \$901 \text{ and}$$

$$\text{Ending equity} = \$3,768 + \$901 = \$4,669$$

- c. Starting with the accounting equation at the
- end*
- of the year:

(thousands of €)	Assets	=	Liabilities	+	Equity
Carrefour	€43,564		€37,959 - €2,992		<u>€8,597</u>

Using the accounting equation at the *beginning* of the year:

(thousands of €)	Assets	=	Liabilities	+	Equity
Carrefour	€43,564 + €2,442		€37,959		<u>€8,047</u>

E1-30 (~10 min)

Computation of dividends:

Retained earnings, beginning of 2019	€6,054
+ Net income	1,977
– Cash dividends	<u>(?)</u>
= Retained earnings, end of 2019.....	<u>€6,555</u>

Thus, dividends were €1,476 million for 2019.

This dividends amount comprises 74.7% (€1,476/ €1,977) of Adidas's net income.

E1-31 (~5 min)

ADIDAS Income Statement For the year ended December 31, 2019 (€ millions)	
Revenues	€23,640
Cost of goods sold	<u>11,347</u>
Gross profit	12,293
Other expenses	<u>10,316</u>
Net income (or loss)	€ <u>1,977</u>

E1-32 (~5 min)

a.

Return on equity (ROE)

= Net income / Average total equity

= €1,977 / [(€7,058 + €6,364)/2]

= 29.5%

b.

Debt-to-equity

= Total liabilities* / Total equity

= €13,622 / €7,058

= 1.93

*€13,622 = €20,680 - €7,058

PROBLEMS (~60 min)**P1-37 (~20 min)**

SHERBROOKE CO.
Income Statement
For Year Ended December 31, 2020
(€ millions)

Sales	€ 86,816
Cost of sales	<u>74,570</u>
Gross profit	12,246
Other net expenses	<u>10,295</u>
Net income.....	€ <u>1,951</u>

SHERBROOKE CO.
Balance Sheet
December 31, 2020
(€ millions)

Cash asset	€ 19,439	Total liabilities	€ 74,190
Noncash assets	<u>67,335</u>	Total equity	<u>12,584</u>
Total assets	€ <u>86,774</u>	Total liabilities and equity	€ <u>86,774</u>

SHERBROOKE CO.
Statement of Cash Flows
For Year Ended December 31, 2020
(€ millions)

Net cash flows from operations	€ 7,589
Net cash flows from investing	(8,086)
Net cash flows from financing	<u>2,279</u>
Net change in cash	1,782
Cash, beginning year	<u>17,657</u>
Cash, ending year.....	€ <u>19,439</u>

NOTE: Remember that each financial statement includes the company name, name of the statement, period/date (and additional information about units/currency as necessary).

P1-38 (~10 min)

GANGNAM CORPORATION			
Statement of Changes in Equity			
For Year Ended December 31, 2020			
	Contributed Capital	Retained Earnings	Total Equity
December 31, 2019	\$ 70,000	\$ 30,000	\$100,000
Issuance of ordinary shares	30,000		30,000
Net income		50,000	50,000
Cash dividends	_____	<u>(25,000)</u>	<u>(25,000)</u>
December 31, 2020	<u>\$100,000</u>	<u>\$ 55,000</u>	<u>\$155,000</u>

P1-40 (~5 min)

- a. Return on equity is net income divided by average total equity.

Nokia's ROE: $\text{€}11 / [(\text{€}15,401 + \text{€}15,371)/2] = 0.0007$ or 0.07%.

- b. Debt-to-equity is total liabilities divided by total equity.

Nokia's debt-to-equity: $(\text{€}39,128 - \text{€}15,401) / \text{€}15,401 = \underline{1.54}$.

- c. Revenues less expenses equal net income. Taking the revenues and net income numbers for Nokia, yields:

$\text{€}23,315 - \text{Total Expenses} = \text{€}11$. Therefore, total expenses must equal €23,304.

P1-42 (~10 min)

a.

NESTLE	
Income Statement	
For the year ended December 31, 2019	
(CHF millions)	
Sales.....	CHF92,568
Cost of goods sold.....	<u>46,647</u>
Gross profit.....	45,921
Other expenses.....	<u>33,017</u>
Net income (or loss).....	CHF12,904

b. ROE = Net income / Average total equity

$$\text{Nestle's ROE} = \text{CHF12,904} / [(\text{CHF52,862} + \text{CHF58,403})/2] = \underline{23.2\%}.$$

c. Debt-to-equity = Total liabilities / Total equity

$$\text{Nestle's debt-to-equity} = (\text{CHF127,940} - \text{CHF52,862}) / \text{CHF52,862} = \underline{1.42}$$

P1-45 (~15 min)

- a. $\$285,000 \text{ Assets} - \$45,000 \text{ Liabilities} = \$240,000 \text{ Net Assets}$. $\$72,000 \text{ Average Annual Income} / \$240,000 \text{ Investment} = 30\% \text{ return}$. Seale's return would be 24% ($\$72,000 \text{ Average Annual Income} / \$300,000 \text{ Investment}$), assuming no adjustment is made for Meg's salary. (See part b.)
- b. No. Withdrawals do not affect net income, because they are not part of the firm's operating activities. However, in calculating Krey's return in part a, Seale might wish to "impute" an amount for Krey's half-time work in computing Krey's return on investment. Thus, if Seale believes that Krey's services are worth \$18,000 (half of the \$36,000 salary she expects to pay a full-time manager), annual income should be calculated at \$54,000 instead of \$72,000. If Seale hires a full-time manager at \$36,000, her return will be only 12% [$(\$72,000 - \$36,000) / \$300,000$].
- c. Yes, the difference between net income shown in the financial statements and net income shown on the tax return can be legitimate, because income tax rules for determining revenues and deductions from revenues differ from financial reporting. Seale may obtain additional assurance about the propriety of the financial statements by engaging a licensed professional accountant to audit the financial statements and render a report on them.